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New consumer product launch: strategies and performance

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The launch strategies of new consumer goods have not been subject to rigorous study, although anecdotes abound in the form of news items in newspapers and specific industry journals. This contrasts with the copious research into new industrial product launch which shows that, prior to commercialization, the process of developing product advantage commensurate with the requirements of the target market is central to management thinking. In this article, we seek to answer the question 'how are new consumer products launched and with what performance outcomes?' To do this, our focus is on the details of the decision content of the launch. The paper is divided into three sections. First, we review the literature to elicit the details of what comprises a new product launch and discuss these details within the context of consumer new product launches, developing a series of specific research questions. Secondly, we describe a survey of 208 new consumer product launches in the UK. Finally, we present our findings and discuss the results.

KEYWORDS: Consumer product launch; performance outcomes; strategic decision content of launches; tactical decision content of launches; survey of launches

INTRODUCTION

The business environment of the 1990s, consisting of fragmented markets and ever-increasing technological change, has placed the need for companies to develop a healthy stream of new products at the forefront of their competitive strategies (Clark and Fujimoto, 1991; Brown and Eisenhardt, 1995). The competitive centrality of new product development (NPD) has driven much research into new product success and failure (Rothwell, 1972; Rothwell *et al.*, 1974; Cooper, 1979; Maidique and Zirger, 1984; Cooper and Kleinschmidt, 1987, 1995).

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This research has been the focus of several reviews aimed at clarifying and distilling disparate research findings into a cohesive body of knowledge (Montoya-Weiss and Calantone, 1994; Brown and Eisenhardt, 1995; Hart, 1995). The recurring factors leading to success are the identification of user needs, the development of superior product to meet those needs and the communication of how needs are to be met via a proficient new product launch.

Numerous specialist studies have investigated further within the first two of these broad factors. For example, research into the complexities of identifying user needs covers a variety of issues, ranging from techniques of opportunity identification (Pavia, 1991; Bonaccorsi and Lapparini, 1994) to managing R&D projects and creativity (Twiss, 1990; Majaro, 1992). Moreover, the development of a superior product has been investigated from several perspectives, including the proficiency of market testing (see, for instance Feldman and Page, 1993), the dynamics of the development team (Gupta *et al.*, 1986; Dougherty, 1992) and the nature and sequence of the development process (Cooper, 1984; Mahajan and Wind, 1992). In contrast, there have been fewer studies of what constitutes a proficient product launch, which is surprising, given the resources invested at the time a product is launched into the market. One notable exception is the innovative study by Chryssochoidis and Wong (1998), who specifically investigated the incidence, causes and effects of delays in international, high-technology, product roll-out. Despite this recent contribution, there is still a surprising lack of knowledge of what managers of new product development consider to accomplish the successful launch of a new product, particularly in consumer markets.

What we can deduce as important to new product launch comes from studies which are often situated in a variety of business-to-business contexts, for example high-technology industries and chemical industries (Yoon and Lilien, 1985; Abratt and Altena-Lombard, 1993; Cooper and Kleinschmidt, 1995; Beard and Easingwood, 1996). In contrast, the launch strategies of new consumer goods have not been subject to rigorous study, although anecdotes abound in the form of news items in newspapers and specific industry journals. For example, an article in Australia's *Business Review Weekly* concluded that there is great pressure at the time of idea generation in consumer markets to enter a 'launch state', where the issues of how to launch the idea overtake whether to launch the product (Shoebridge, 1996). This contrasts with the copious research into new industrial product launch which shows that, prior to commercialization, the process of developing product advantage commensurate with the requirements of the target market is central to management thinking (Choffray and Lilien, 1984; Cooper, 1984; MacMillan and Day, 1987). In this article, we seek to answer the question 'how are new consumer products launched and with what performance outcomes?' To do this, our focus is on the details of the decision content of the launch.

The remainder of this paper is split into three sections. First, we review the literature to elicit the details of what comprises a new product launch and discuss these details within the context of consumer new product launches, developing a series of specific research questions. Secondly, we describe a survey of 208 new consumer product launches in the UK and, finally, we present our findings and discuss the results.

CONCEPTUAL FRAMEWORK AND LITERATURE REVIEW

Defining a launch strategy

The launch of a new product, despite its cost, remains largely unresearched in the NPD literature (Urban and Hauser, 1993; Calantone and Montoya-Weiss, 1993). Basic marketing

textbooks and a handful of normative prescriptions offer checklists for a successful launch which include (1) provide benefits that fulfil a need in the market, (2) segment the market on benefits, (3) identify key buyers and (4) use critical path analysis (Dundas and Krentler, 1982; Lucas and Bush, 1984). Apart from the previously cited work by Chryssochoidis and Wong (1998), virtually no attention has been given to the crucial issue of international new product launch. That said, even a cursory glance at the research examining domestic new product launch reveals that it has been far from inclusive in its delineation of the decision content, let alone conclusive about what type of decisions positively affect the outcomes of the commercialization stage of the NPD process. This article, therefore, is restricted to an exploration of which decisions are pertinent to a full description of this commercialization, together with an examination of how different decision emphases affect the success of the new product launch.

Recent attempts to provide greater clarity regarding what decisions go into launching a new product have synthesized previous research into two broad categories of launch decisions: strategic launch decisions and tactical launch decisions (Hultink *et al*., 1997). These two sets are reviewed below and summarized in Table 1, which also shows their derivation from previous literature.

Strategic launch decisions

Strategic launch decisions are those considered to take place before the physical development of the product and are derived from literature in new product strategy and even firm-level strategy (Crawford, 1980; Nystrom, 1985). These decisions include the firm's overall orientation towards its NPD efforts (firm strategy), the nature of the new product to be developed in terms of design and technical content (product strategy) and the nature of the market into which the new product will be launched and the competitive position of the new product (market strategy). Taken together, these decisions are equivalent to many encapsulated in Crawford's (1984) product innovation charter or Cooper's (1993) protocol. As such, they set the parameters within which the new product will compete: as a technological innovation in the category or as a cost-reduced version or a new improved version in the category, to give a few examples. Although decisions such as these might not instantly be associated with the launch stage of NPD, they have been, rather idiosyncratically, included in the seminal studies of product launch and market entry, as can be seen from Table 1. Furthermore, many of these decisions have been shown to be associated with new product performance (Biggadike, 1979; Cooper, 1984; Yoon and Lilien, 1985; Lambkin, 1988; De Brentani, 1989; Green and Ryans, 1990; Mahajan and Wind, 1992; Griffin, 1995).

These strategic launch decisions, made at an early stage of development, have an impact on which of the tactical launch decisions are most likely to maximize profitability over a product's life cycle (Robinson and Fornell, 1985; Hisrich and Peters, 1991). Once made, these strategic decisions are difficult or expensive to change later in the NPD process and, therefore, the tactical decisions are likely to be made to align with them.

Tactical launch decisions

Tactical decisions central to the actual commercialization of the new product cover the traditional elements of the marketing mix: the level of marketing (and other) investment, the breadth of product versions launched in the market, the nature and scope of services offered alongside the product, how and where to distribute and promote the product and, finally, its

TABLE 1. Launch strategy components in previous studies

Variables	*Previous study*
Strategic launch variables	
Firm strategy	
Innovation strategy	Choffray and Lilien (1984)[b], Glazer (1985)[a], Robinson and Fornell (1985)[a], Yoon and Lilien (1985)[b], Urban *et al.* (1986)[a], Lambkin (1988)[a], Lieberman and Montgomery (1988)[a], Ryans (1988)[a], Green and Ryans (1990)[a] and Urban and Hauser (1993)[b]
Degree of forward and backward integration	Biggadike (1979)[a], Roberts and Berry (1985)[a] and Lambkin (1988)[a]
Size of production scale entry	Biggadike (1979)[a] and Lambkin (1988)[a]
Product strategy	
Product innovativeness	Biggadike (1979)[a] and Schmalensee (1982)[a]
Relative product newness	Biggadike (1979)[a], Schmalensee (1982)[a] and Yoon and Lilien (1985)[b]
Quality	Biggadike (1979)[a] and Lambkin (1988)[a]
Market strategy	
Breadth of segments served	Biggadike (1979)[a] and Lambkin (1988)[a]
Stage of the product on its PLC	Biggadike (1979)[a], Choffray and Lilien (1984)[b] and Yoon and Lilien (1985)[b]
Target market growth	Cooper (1984)[b] and Yoon and Lilien (1985)[b]
Number of competitors	Choffray and Lilien (1984)[b] and Yoon and Lilien (1985)[b]

Tactical launch variables	
Product	
Breadth of the product line	Biggadike (1979)[a] and Lambkin (1988)[a]
Direct manufacturing costs	Lambkin (1988)[a]
Services	Biggadike (1979)[a] and Lambkin (1988)[a]
Price	
Pricing strategy: skim or penetrate?	Little (1975)[b], Biggadike (1979)[a], Wind (1982)[b], Choffray and Lilien (1984)[b], Lambkin (1988)[a], Cooper (1993)[b] and Urban and Hauser (1993)[b]
Promotion	
Advertising	Little (1975)[b], Wind (1982)[b], Crawford (1984)[b], Cooper (1993)[b] and Urban and Hauser (1993)[b]
Promotion	Little (1975)[b], Crawford (1984)[b], Cooper (1993)[b] and Urban and Hauser (1993)[b]
Distribution	
Distribution intensity	Little (1975)[b], Biggadike (1979)[a], Wind (1982)[b], Choffray and Lilien (1984)[b], Crawford (1984)[b], Lambkin (1988)[a] and Urban and Hauser (1993)[b]
Sales force effort	Crawford (1984)[b], Cooper (1993)[b] and Urban and Hauser (1993)[b]

[a]Entry studies.
[b]Studies of new product launch.

price. However, as described above, the initial choices and direction chosen for the new product govern these tactical decisions. Consequently, the alignment of the two sets of decisions is likely to influence the success of the new product in the market, since a new product launch, like other marketing strategies, is based on a mix of elements which should be mutually reinforcing (Wind, 1982).

The conceptualization of a complete launch strategy therefore consists of both strategic and tactical launch decisions, which together influence the success of the launch. This conceptualization, which informs our investigation, is shown in Fig. 1. However, the precise nature of these two sets of launch decisions, how they are applied and to what effect in consumer markets is unclear, partly because of the tendency of previous studies to use different combinations of strategic and tactical launch variables and partly due to a majority of studies reporting only business-to-business product launches. Below we discuss both sets of launch decisions in relation to one, albeit heterogeneous, context: the new consumer product.

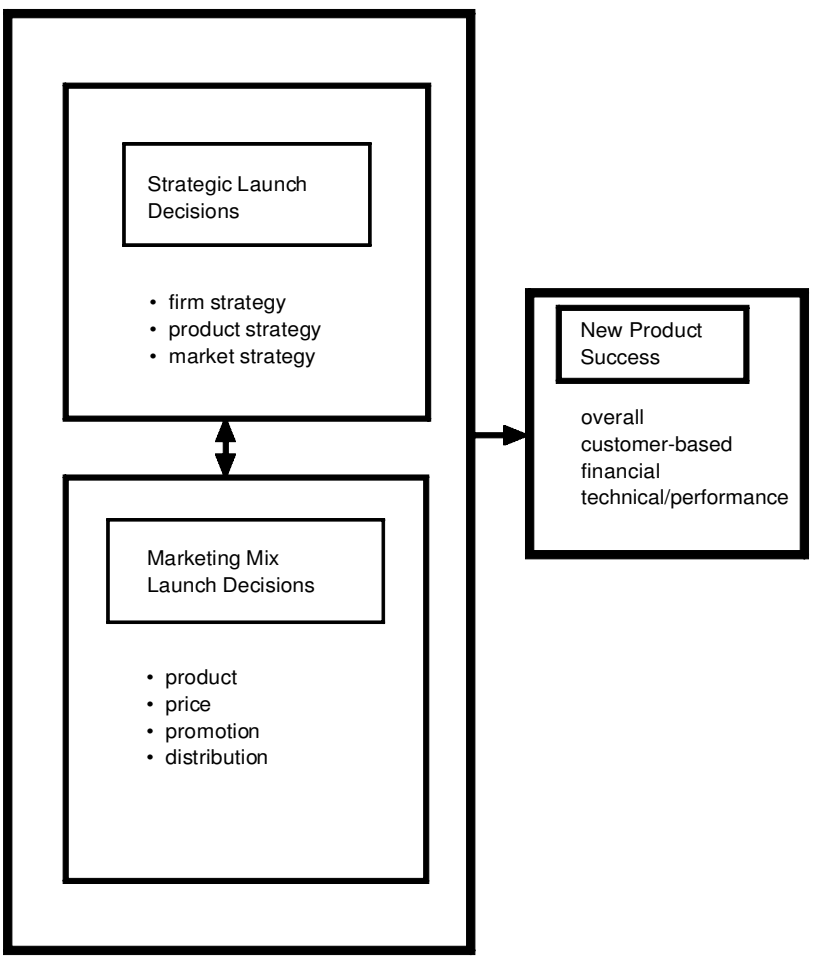

FIGURE 1. Defining launch decisions and their impact on new product success.

Strategic launch decisions for new consumer products

(1) Firm strategy. Existing research into business-to-business markets suggests that being innovative and technology-led are the organizational drivers of successful new products. New consumer products, however, are likely to be launched into markets where competitive rivalry is based on a number of activities, rather than a sole focus on technology. In fact, it might be suggested that the failure of Persil Power was partly caused by an over-concentration on technological solutions to consumer washing concerns.

(2) Product-related decisions. In business-to-business markets, the tendency towards greater numbers of expensive, technical and complex items, together with more 'rational' and multiple buying influences intensifies the need for a new product to deliver unique features, to be innovative and to perform unique tasks for a customer (Abratt and Altena Lombard, 1993; Cooper and Kleinschmidt, 1995). It is claimed, however, that product innovativeness and uniqueness is short-lived in consumer markets (Martenson, 1994; Mosmans, 1995) where a majority of new products are modifications. In contrast, the success of Japanese consumer electronics and cars is reputed to rest on technological and design innovations that deliver unique advantages to the consumer (Morita *et al.*, 1987; Clark and Fujimoto, 1991; Iansiti, 1995). In other words, there is a lack of clarity in the role of product-related strategic launch variables in the launch performance of new consumer products.

(3) Strategic market decisions. Business-to-business markets are typically more concentrated markets, with longer-term relationships and relatively few buyers, all of which point towards a launch strategy focusing on careful targeting and a customized approach to new product launch (Cooper and Kleinschmidt, 1987; Abratt and Altena Lombard, 1993). Cooper (1984) found that successful new industrial products were launched into high growth markets with high potential and relatively few competitors. Yoon and Lilien (1985) showed that new industrial products were more successful in their first year after launch where the number of competitors is small and the level of competition low. In a recent study by Hultink *et al.* (1997), the most successful industrial product launches were more innovative than competitors, were focused on niche markets and were launched into markets where the number of competitors was low. Equally, careful targeting, avoiding head-on clashes with competitors and placing the new product into growth markets have been hallmarks of new consumer product successes such as Orange™ and Clearly Canadian, while many new consumer products are modifications and brand extensions, launched into mature markets where the number of competitors is already high (Adams, 1994; Martenson, 1994).

This brief review of the status of knowledge of the strategic launch variables that affect the outcome of new product launches suggests that theory is far from conclusive in the context of consumer goods. While much existing knowledge is derived from studies in industrial markets and often leads to the conclusions that industrial products are more technology-driven, innovative, newer and more frequently launched into niche markets than new consumer products, actual evidence in support of these contentions is thin. That said, the above discussion suggests that consumer products launched onto the market may be less innovative and targeted at several segments or mass markets where a number of competitors are already positioned, without harming the performance outcome of the launch.

Tactical launch decisions in consumer markets

(1) Product decisions. At the time of launch, these relate to the branding policy and the breadth of product versions to be introduced. Branding is typically thought to be a tool preferred in consumer marketing, although recent contributions to the literature have indeed shown that branding also has an important role in industrial product marketing (Shipley and Howard, 1993; Ryder, 1994). There is a question pertaining to the nature of branding in industrial goods companies, where well-known 'brands' are synonymous with company names (for example, ICI, IBM, INTEL and Microsoft). Increasingly, however, there is a growing trend to launch brand extensions under the overall company name (*Marketing Week*, 1995). While there is little evidence to suggest whether the breadth of the new product introduction is similar or different across consumer and industrial goods' companies, recent work suggests that in consumer markets it is brand extensions which are the backbone of product development initiatives (Adams, 1994; Martenson, 1994).

(2) Distribution decisions. In consumer markets, these will have to take cognisance of the concentration of retailing across several sectors, notably fast-moving consumer goods (FMCGs) and consumer durables. In FMCG industries retailers typically account for between 60 and 75% of all grocery purchases and, therefore, the distribution channels available to product developers are both static and concentrated. It follows that to seek out new channels in FMCGs is less valuable, whereas new industrial products may have a greater number of potential options for distribution in order to encourage adoption and diffusion of the new product throughout the market.

(3) Promotion decisions. In new consumer product launches these are typically dominated by mass advertising media. In contrast to the empirical literature for industrial new product launches, there is relatively little research into marketing communications for new consumer products, which is typically perceived to be weak by comparison (Lazo, 1965; Hopkins, 1981; Abratt and Altena Lombard, 1993). Research into new industrial products suggests either that launch promotion receives poor attention and low expenditure (Abratt and Altena Lombard, 1993; Schmidt, 1995) or that that which separates good industrial product launches from the poorer ones is, among other things, attention to the promotion effort (Cooper and Kleinschmidt, 1995). Beard and Easingwood (1996), however, showed that high-technology products may profitably use one of a number of different promotional 'attacks', depending on the structure of the market into which the new product is being launched. This level of detail, however, is lacking with respect to new consumer products.

(4) Pricing decisions. Given the tendency in consumer goods' companies for development of improved, modified products aimed at several segments within a mass market, it might be expected that they deploy penetration, rather than skimming pricing (Wind, 1982). Previous research to support this contention is scant, as is any to suggest the performance implications of either penetration or skimming pricing for new consumer products.

RESEARCH QUESTIONS

The foregoing discussion shows that empirically based knowledge of what constitutes a new product launch for consumer markets is inconclusive. Thus, we have no way of knowing (1)

what strategic and tactical launch decisions are taken for new consumer product launches, (2) how these decisions are combined for new consumer products and (3) what effect, if any, these combinations have on the new consumer product's performance.

The following two research questions aim to fill these gaps in our knowledge.

(1) How are strategic and tactical launch decisions combined in new consumer product launches?
(2) How do the combinations of strategic and tactical decisions relate to new product performance?

RESEARCH METHOD

Sample

The data for this study were collected in the spring of 1995 from 269 UK managers working in the consumer durables and consumer food and beverage industries (listed in Macmillan's *Top 10 000 Manufacturing Companies in the UK*, Sell's *Directory of Manufacturing Companies* and Dun and Bradstreet's *Key to British Enterprises*). Companies were contacted by telephone to explain the purpose of the study and to solicit cooperation. The extensive phase of telephone contacting – which lasted approximately 5 months – was necessary to ensure that we had identified individuals responsible for both the development and launch. We were keen to elicit responses at the Strategic Business Unit (SBU) level of firms to enhance the accuracy of the data by ensuring that products were developed and launched in the same location. As we did not specifically investigate the initial location of the new product, it is possible that we have collected data on products developed and launched in markets other than the UK. On the other hand, given that 80% of the respondents worked at their SBU's headquarters and that we had ascertained that they had indeed been involved with the development and launch of the new products during the initial telephone contact, the risk of respondents providing information for products developed (and even launched) in markets other than the UK was minimized. In total, 269 managers agreed to participate in the study and were sent the mail questionnaire. A total of 104 useable questionnaires were returned (39%). The respondents, from a marketing, general management or product development background, provided data on 208 new products that their company had introduced in the previous 5 years (since 1989) and for which they were responsible.

Variables

The independent variables

The respondents selected a successful and an unsuccessful new product that their firm had introduced in the previous 5 years. In addition, they provided data on ten strategic and nine tactical launch decisions for each of the two products selected. The strategic and tactical decision variables chosen were derived from the literature described in Table 1. Table 2 shows the variables measured in the study and the response categories for each variable. To avoid the possibility of systematic biases in attribution, categoric responses were used in obtaining descriptions of the launch decisions made by the managers responsible. For example, given that the respondents were asked to give information about product advantage, it was important to avoid leading the respondents into selecting the 'appropriate' response which might explain the advantage achieved (Weiner, 1986;

TABLE 2. Strategic and tactical launch decision variables in the study

Variables	*Response categories*		
	1	2	3
Strategic launch decisions			
Product			
Product newness	New lines	Additions	Repositions
Innovativeness	More	Equal	Less
NPD cycle time	<1 year	1–3 years	>3 years
Product advantage	Low	Medium	High
Market strategy			
Targeting strategy	Niche	Selective	Mass
Number of competitors	None	One to three	More than four
Market growth rate	<5%	6–10%	>10%
Stage of PLC	Intro/growth	Maturity	Decline
Firm strategy			
Driver of NPD	Market	Mix	Technology
Innovation strategy	Innovator	Fast imitator	Cost minimizer
Tactical launch decisions			
Product			
Branding strategy	New brand	Extension	Company
Breadth of assortment	Broader	Equal	Smaller
Distribution			
Distribution intensity	Intensive	Selective	Exclusive
Distribution channels	Current	New	–
Distribution expenditures	Higher	Equal	Lower
Promotion			
Promotion expenditures	Higher	Equal	Lower
Sales force intensity	Higher	Equal	Lower
Price			
Price strategy	Skimming	Penetration	Other
Price level	Higher	Equal	Lower

Note: innovativeness, distribution expenditures, sales force intensity, breadth of product assortment, promotion expenditures and price level were measured in comparison with competing products on the market.

Curren *et al*., 1992). We therefore chose not to measure launch variables in terms such as 'How well was the pricing strategy executed for this product', with a typical rating scale of: 1 = not at all well through to 5 = extremely well. Instead, we simply asked for a description of the decision made. For example, 'What was the pricing strategy for this product', with 1 = skimming strategy and 2 = penetration strategy.

The dependent variable: new product success

Most of the product launch studies we used to form the conceptual basis for the current study were published before the recent flurry of research activity which has defined the elements of measuring new product success more completely (Cooper and Kleinschmidt, 1987; Griffin and Page, 1993, 1997; Hart, 1993; Hultink and Robben, 1995). These studies have shown that achieving success in one dimension (for example, return on investment) does not automatically coincide with success in another (for example, customer acceptance). In this study, we have operationalized the three dimensions of success derived from the work of Griffin and Page (1993, 1997), namely customer-determined success (six items), financial performance (four items) and product-level success (five items). For all these items, responses were collected using five-point scales; 1 = did not meet the criterion at all and 5 = met the criterion completely. Cronbach's α for combining all 15 items into an overall measure was 0.96. For customer-determined success it was 0.94, for financial performance 0.94 and for product-level performance 0.88. Gathering data on all these items allowed us to analyse the impact of launch decisions on success at three levels.

(1) On individual items within a success dimension, similar to Yoon and Lilien (1985).
(2) To achieve a composite level of success by dimensions.
(3) For overall success across all the dimensions.

ANALYSES AND RESULTS

The data for the 208 introductions were organized into two sets: a set of ten strategic launch decisions and a set of nine tactical launch decisions. To investigate the questions, we conducted two types of analysis, namely canonical correlation analysis and cluster analysis.

Relationships between strategic and tactical launch decisions

In order to obtain a cohesive view of both the strategic and tactical elements of consumer product launches, the two sets of variables were subjected to canonical correlation analysis, which determines whether a relationship exists between two sets of variables (Alpert and Peterson, 1972; Kuylen and Verhallen, 1981). The aim is to account for as much variance in the relationships between the sets as possible. Because of the non-parametric measurement level of the data (i.e. nominal and ordinal), we relied on non-linear canonical correlation analysis (*Categories*; SPSS, 1990). Canonical correlation analysis computes dimensions from both sets of variables, comparable to factors in principal component analysis (Kuylen and Verhallen, 1981). A two-dimensional solution described the structure in the data best. Table 3 summarizes the results from this solution.

The fit of the two-dimensional solution was high (1.727, given that the maximum value of fit equals the number of dimensions (in this case 2)), which would indicate that the relationships were perfect (*Categories*; SPSS, 1990). In addition, the eigenvalues of both dimensions and the canonical correlation coefficients were high. Similar to factor loadings in principal component analysis, the canonical loadings reflect the importance of the original variables in deriving the canonical dimension (Hair *et al.*, 1992, p. 451). Thus, the larger the coefficient, the more important it is in deriving the canonical variate. Consistent with the criteria described in Hair *et al.* (1992) for interpreting the canonical variate, we selected those

TABLE 3. Component loadings for the variables on two dimensions

Variable	*Dimension 1*	*Dimension 2*
Strategic launch decisions		
Product		
Product newness	−0.229	−0.322
Innovativeness	**−0.497**	−0.237
NPD cycle time	−0.146	**0.578**
Product advantage	**0.458**	−0.082
Market		
Targeting strategy	**−0.784**	−0.090
Number of competitors	**−0.651**	**0.516**
Market growth rate (%)	0.118	0.253
Stage of PLC	−0.087	−0.023
Firm		
Driver of NPD	0.031	**0.511**
Innovation strategy	−0.219	0.256
Tactical launch decisions		
Product		
Breadth of assortment	−0.311	−0.170
Branding strategy	−0.268	**−0.585**
Distribution		
Distribution intensity	−0.069	**0.465**
Distribution channels	0.166	0.044
Distribution expenditures	−0.211	0.279
Promotion		
Promotion expenditures	**−0.510**	0.220
Sales force intensity	−0.366	−0.257
Price		
Price strategy	**−0.640**	0.239
Price level	−0.164	0.213
Eigenvalue	**0.878**	**0.849**
Fit = 1.727		

Note: component loadings >0.45 are presented in bold.

variables with loadings of greater than 0.45 to explain our analysis. Thus, the strategic launch decisions that loaded most heavily (i.e. >0.45) on the first dimension were (1) targeting strategy, (2) the number of competitors on the market, (3) the relative innovativeness of the product and (4) product advantage. This set of strategic launch decisions is strongly related to the following set of tactical launch decisions: (1) level of promotion expenditures and (2) pricing strategy.

Interpretation of the negative signs on the loading was done with reference to the response categories so that, for example, the high negative loading on the first dimension of 'targeting

strategy' should be interpreted as 'niche' targeting. Looking at the first dimension as a whole, the launch profile across the strategic and tactical components involves niche targeting of a relatively more innovative new product, which exhibits higher levels of advantage and which is launched into a market with few competitors, promoted with higher levels of expenditure and deploying a skimming price strategy. Therefore, this dimension reflects the thrust of the findings of Yoon and Lilien (1985), who found associations between innovative new products being introduced into markets with low levels of competition. What we add here is that, where these innovative products are also perceived to be of high advantage, the launch-associated tactics are to use skimming pricing supported by higher levels of promotional expenditure to communicate the advantage to the selected niche of customers. Indeed, this launch strategy well describes that of the relatively expensive Orange™ mobile phone in 1994, whose original target market was narrowly defined and the subject of a promotional campaign estimated to be around three times as much as the physical development.

The strategic launch decisions that loaded heavily on the second dimension were (1) the number of competitors on the market, (2) whether the new product was technologically- or market-driven and (3) the development cycle time.

These decisions were strongly related to the following tactical launch decisions: (1) distribution intensity and (2) branding strategy.

The second dimension describes new consumer products whose development has been driven by a technological orientation in companies and launched into a market where there are higher numbers of competitors already on the market. Compared to the normative literature, there appears to be a certain inconsistency, since, despite the importance of technology as a driver of NPD in this dimension, the actual new product is launched into a market where a higher number of competitors is already present. Such a configuration of strategic launch variables is reminiscent of the 'late entrants' in Lambkin's (1988) study, who did not exhibit very clear strategic profiles. At the tactical level of the launch, a new brand name is used and the product is distributed exclusively, suggesting a configuration of strategic and launch decisions which attempts to position the new product in a selected niche. However, in similar fashion to Lambkin's (1988) late entrants, the configuration of the variables does not include any specified product advantage, which is generally considered necessary for a successful niche strategy. Since the new product developed is not first to the market, it might be expected that the drivers would be customer-focused in order to more finely tune the offering to market needs. In contrast, the product launch strategy encapsulated by this dimension appears to be driven by a technology orientation wherein developments have taken rather longer to materialize, hence, the number of competitors in the market is higher. The tactics of the launch that load on the dimension, a new brand name and exclusive distribution are consistent with the technology-driven approach, however.

It is worth commenting on the launch decisions, both strategic and tactical, which remain independent across the two dimensions. Four strategic launch decisions are not associated in a systematic way with any of the tactical variables: product newness, market growth rate, the stage of the product life cycle and the firm's overall innovation strategy. This means that, for example, a new consumer product, be it a new line, an addition to a line or simply a reposition, may share similar launch tactics. Five tactical decisions are also independent of the strategies selected for their development: the breadth of assortment, distribution expenditures, selection of distribution channels, sales force intensity and the actual price level. This means that these five tactics do not correlate with the strategic decision the firm pursues for its NPD programme. One explanation for this finding (which is counter-intuitive given what

normative theory does exist in the NPD literature) is that several of these tactical decisions cannot, in fact, be varied by the firms introducing new consumer products. Selection of distribution channels in consumer markets is more or less impossible due to the high levels of concentration of retail space in the hands of relatively few major chains. Further, sales force intensity need not vary in these sectors due to the preponderance of 'key account selling' required for obtaining listing in the major durable and grocery multiples.

Further speculation on the nature of the two launch dimensions rests, however, on an examination of how actual products in the sample were indeed launched. Moreover, the performance impact of these strategic and tactical launch decisions on the overall launch would help strengthen the findings' ability to serve as a platform for normative conclusions and it is to these that we now turn.

Performance and launch decision

Cluster analysis was used to determine how the combinations of strategic and tactical launch decisions influence new product performance in consumer markets. Four clusters were obtained by using Ward's (1963) method on the canonical variate scores of the 208 introductions obtained in the canonical correlation analysis. Table 4 describes these four clusters and Table 5 shows how new product performance varies across the clusters in detail.

We cross-tabulated cluster membership with responses to the original variables used to create the clusters and calculated the mean performance within the cluster for each success measure individually and for the mean performance within each performance dimension and overall.

Cluster 1 ($n = 56$) is comprised of companies who are technologically-driven, have relatively long cycle times to develop products which are innovative and exhibit higher levels of product advantage. The products are launched into markets where the number of existing competitors is relatively high and are differentiated by the use of a new brand name. In addition, distribution is selective and promotion expenditures are lower than that of competitors whilst the pricing strategy is competitive. The pattern of decisions leading to the launch of these products is one at odds with the literature and expectations. Specifically, although these products are innovative and of high relative advantage, their longer cycle times result in relatively late entry, which makes it difficult to position the product clearly due to the number of competitors already on the market. Hence, although developed to be of high advantage for the customer, the extent to which the customers might perceive advantage may well be diluted by the number of established products already on the market. Indeed, this cluster of launches had the lowest level of 'customer acceptance' of all. This situation is then compounded by lower levels of expenditure on promotion and selective distribution. Products launched using this combination of strategic and tactical decisions had the lowest overall success rate of all clusters, reinforcing the view that, for new consumer products, highly innovative products which take too long to get to market will not realize their potential simply by branding and selective distribution. The relatively low levels of promotional expenditure for the launch cannot enhance the poor performance of these launches.

Cluster 2 ($n = 32$) comprises products developed through a mix of technology and market drivers over a 1–3 year period. The resultant product is more innovative than the competitors, perhaps because they are launched into niche market segments where there is no direct competition. The distribution is intensive, promotion is higher than competitors' and a

TABLE 4. A typology of consumer product launch strategies

	Cluster 1 ($n = 56$)	*Cluster 2* ($n = 32$)	*Cluster 3* ($n = 47$)	*Cluster 4* ($n = 73$)
Strategic launch decisions (protocol)				
Product				
Relative innovativeness	More innovative	More innovative	?	Equal
NPD cycle time	>3 years	1–3 years	?	<1 year
Product advantage	High	High	Low	Low
Market				
Targeting strategy	?	Niche	Selective	Mass-market
Number of competitors	More than four	None	One to three	One to three
Firm				
Driver of NPD	Technology	Mix	?	Market
Tactical launch decisions				
Product				
Branding strategy	New brand	?	?	Company name
Distribution				
Distribution intensity	Selective	Intensive	?	Intensive
Promotion				
Promotion expenditures	Lower	Higher	?	Equal
Price				
Price strategy	Other	Skimming	Penetration	Penetration

TABLE 5. Launch strategy clusters and performance implications

Performance measure	*C1*	*C2*	*C3*	*C4*	*Significance*
Overall success ratio (%)	34.0	88.0	68.0	58.0	2, 3, 4 > 1
Overall success level	3.4	5.1	4.5	4.2	2, 3, 4 > 1; 2 > 4
Customer acceptance	3.6	5.2	4.7	4.3	2, 3, 4 > 1
Financial performance	3.0	4.3	4.1	3.5	2, 3 > 1
Product-level measures	3.5	5.6	4.8	4.4	2, 3, 4 > 1; 2 > 4

Note: entries for overall success level and for the customer acceptance, financial and product performance measures are means from a scale where 1 = criterion not met at all and 7 = criterion met completely; true *n* per anova varies because of missing values. All *F*-tests were significant at $p \leqslant 0.001$. The last column indicates *post hoc* Scheffe significance.

skimming strategy is used. There are some similarities between the strategic launch profiles of clusters 1 and 2. Both clusters contain products which are considered to be 'more innovative' and of 'higher advantage' but, in cluster 2, the development cycle time is shorter and the companies are driven by a mix of both market and technological perspectives. In addition, products in cluster 2 are specifically launched into a niche market where there are no competitors. At the tactical level of the launch, products in cluster 2 are distributed intensively, have higher promotion expenditures and use a skimming pricing strategy. There is no clear indication regarding branding strategy. This cluster is the most successful overall, with 88% of products in the cluster being successful, underlining the importance of targeting and timing in new product launch at the strategic level and promotion and pricing strategies at the tactical level. In addition, these launches score more on all three dimensions of success: customer acceptance, financial performance and product-level measures.

Cluster 3 ($n = 47$) are products whose protocol (or strategy) is characterized by a selective targeting of low advantage products. They are launched into selective segments where the number of competitors is between one and three. There is no clear indication of whether the launches are technologically or market driven, nor of their innovativeness. The launch tactics which complement this set of strategic launch decisions are unclear, except with respect to pricing strategy, which is to employ penetration pricing as befits a product of low advantage. This cluster of launches appears to represent fairly modest development projects which are destined for penetration into specific market segments where there are a moderate number of competitors. Many products in the home entertainment/hi-fi categories fall into this pattern, in particular the me-too personal sound systems or me-too sports shoes, where, although launched with little advantage over competitors, the alternative new offering is much cheaper, representing good value for the less brand-conscious segments of the market. These products were rather successful, with an overall success rate of 68% and coming second in performance scores on all success dimensions.

Cluster 4 ($n = 73$) describes products which are mass marketed, market driven and of low advantage. The classic 'new improved' products in consumer good's categories, such as personal toiletries, detergents and packaged foods, they typically take less than 1 year to

develop and are launched into mass markets where there are already between one and three competitors. The concomitant tactics of the launch include use of company name, equal promotional expenditure to that of the competitors, intensive distribution and penetration pricing. The overall success rate of these products is 58%, which is close to the 53% quoted by the retail trade as successful new products. These products, like those in clusters 2 and 3, were significantly more successful across the three performance measures than those product launches in cluster 1. However, with these products, there is still a one in two chance of failure. Clearly, the extent to which this rate can be tolerated depends on the ease and cost of development of the product in the first place and the amount of failures over time that the company's name and reputation can tolerate. It is interesting to note that, on product-level measures, managers rated these products significantly lower in performance than did the managers of cluster 2 products and that, over time, this might serve to undermine the company name, used as the umbrella brand under which these new products are launched.

DISCUSSION OF THE RESULTS

Our review of the new product launch literature caused us to pose two questions to guide this paper: how are strategic and tactical launch decisions combined in new consumer product launches and how do the combinations of strategic and tactical decisions relate to new product performance?

Our findings suggest that different patterns of combinations exist between strategic and tactical launch decisions and, moreover, that within each of these levels, patterns of decisions exist. The success profiles of these different patterns, however, allows the observation that not all combinations are equally successful. For example, while clusters 1 and 2 describe launches of new products that are deemed to be of high advantage and innovativeness, the market focus of cluster 1 products is unclear in terms of targeting strategy and the presence of competitors. This backs up the notion that, for new consumer products, a company's drive for innovativeness and advantage must be accompanied by concern for consumer and competitor perceptions. Further, without a clear idea of the targeting strategy for the new product, how can its developers be sure that any of its tactical decisions for getting the product to consumers will be appropriate? This might explain the mismatch between the strategic and tactical decisions taken for products in cluster 1, where, despite high advantage and innovativeness guiding the new products strategy, the tactics of the launches include promotional expenditure lower than competitors and an unfocused pricing strategy, revealing a muddled presentation of the new products' potential benefits. On the other hand, cluster 2 launches harmonize the innovation/advantage dimensions with a clear target market where there are no direct competitors, marrying these strategic factors with launch tactics which clearly position the new products in the consumers' mind and make it widely available to them.

Conventional wisdom suggests that unique, innovative products should be launched using a skimming price strategy to recover costs, with an exclusive distribution strategy to encourage adoption by 'innovators'. Once competitive offerings arrive on the market, the price can be lowered and distribution extended to capture more of the market (Wind, 1982). Cluster 2, the most successful of new product launch clusters, departs from this norm with intensive (wide) distribution and higher promotional expenditure. Thus, our findings suggest that the exhortations of an earlier marketing era may not be so appropriate in times of concentrated retail chains, shorter product life cycles and greater fragmentation of markets.

With regard to the two clusters of launches which feature consumer products of relatively low advantage or equal innovativeness, again our findings question convention. Cluster 4 demonstrates the classic mass-market 'new' product: not so new, fast development, market driven, wide distribution equal promotion expenditure and penetration price strategy. However, its success ratio, overall success rates and performance on each of the success dimensions is lower than the similar new products with a selective targeting strategy and rather unclear tactical decisions, apart from pricing, which is for penetration of those selective targets. This finding reinforces the notion that truly mass markets are perhaps something from a previous era of consumer markets, where perhaps customers were less discriminating and less amenable to precise segmentation than is the case today (Brown, 1995).

Put another way, the most successful cluster of new product launches demonstrates most but not all of the 'classic' recommended actions for the launch of new innovative products. On the other hand, the profile for low-advantage, me-too products, exemplified by cluster 4, is successful a little more than 50% of the time. Findings such as these require that future research looks more closely at the fit between the launch and success of new products.

SUMMARY, LIMITATIONS AND FUTURE RESEARCH

This study was intended to identify the decisions taken by companies when launching new consumer products and to discuss how jointly determined strategic and tactical decisions affect the performance outcomes of the launches. We found that new consumer products are launched with different profiles, from the highly innovative to the me-too and from the mass-market to the niche product. Further, we found that it is not always the innovative new product that is the niche one, although that particular combination was the most successful profile of all, although it described only 32 of the 208 product launches studied.

The second most successful launch profile, where two-thirds of launches were successes, was cluster 3, comprising me-too products aimed at selected segments of the market where there were between one and three incumbent competitors. These products were launched using a price penetration strategy.

The most common profile of new consumer launch was the mass-market, improvement product, successful in slightly over 50% of all cases. Within this large grouping, there is obviously scope for more research, to distinguish the winners from the losers in terms of the details of the launch decisions taken.

The least successful profile, accounting for over one-quarter of the sample, described highly innovative products perceived to be of high relative advantage by the developers. However, a lack of clarity regarding the targeting strategy to be used, the long development cycle and lower promotional expenditure on the new brand name conferred success upon only 34% of these launches.

Overall, the study clarifies several issues with regard to understanding of NPD. First, the findings tend to emphasize the importance of tactical variables, reinforcing a strategic position and underlining that a 'proficient' commercialization works best where it reflects the strategic position of the new product. Second, the classic launch profile for industrial products also appears to work best in consumer markets, suggesting that operating differences may be more of degree than principle. This is an important finding for practising managers in both industrial and consumer markets, for it suggests that there is great scope for cross-fertilization of ideas and adoption of 'best practice' from both contexts. Third, given that the most common launch profile for new consumer products is successful in only half the cases,

managers might be well advised to go beyond common practice in consumer industries and investigate the success stories in industrial companies in order to gain insights into how to launch successful new products. Finally, 'mass market' launches seem to be, on the whole, less successful than any targeting and selectivity in launching products, which, although seen as a by-product of the post-modern era, might also explain the seeming erosion between best practices in consumer and industrial markets.

Our study has several limitations which provide questions for future research. First, the data are from the UK only, concerning products which are typically global or at least which face global competition. It is important, therefore, that future research takes the international dimensions into clearer account. In particular, it should be noted that our research has not focused on the case where products are developed for several international markets, where the launch profiles may well be different for each market of intended entry. Further, the data relate to physical consumer products only, thereby limiting their applicability to consumer or, indeed, business-to-business services. There are likely to be substantial differences in the launch of new services regarding product innovativeness, NPD cycle time, branding, distribution and promotion decisions, given the special characteristics of the service offering. Finally, as indicated above, the results of this study suggest there is the job of redefining some central elements of competitive strategy for new product launch in consumer markets. This would require complementary research methods of a more in-depth nature, to reveal the changing nature of competition in consumer markets and the response being made by companies launching new products.

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